

EDUCATIONAL SYNTHESIS

Trade Like Qullamaggie

The complete practitioner's guide to Kristjan Kullamägi's momentum method — playbook, automatable quant spec, cheat sheet, and sources.

Includes: the 3 setups (Breakout, Episodic Pivot, Parabolic Short), exact entry / stop / sizing / exit rules, screener formulas, entry-exit pseudocode, backtest design, and the “human or quant bot?” analysis.

Compiled from his blog (qullamaggie.com), his 2023 YouTube streams, his Chat With Traders interview, and corroborating third-party write-ups. **Not financial advice.** Returns referenced are self-reported and earned largely in exceptional bull markets; backtest and paper-trade before risking capital.

The Qullamaggie Playbook

How Kristjan Kullamägi Trades — A Complete Practitioner's Guide

Educational synthesis compiled from his blog (qullamaggie.com / qullamaggie.net), his YouTube and Twitch educational content, his Chat With Traders interview, and curated community notes. This is not financial advice. His returns are self-reported and were earned largely in exceptional bull markets — see the Caveats section before risking real capital.

0. TL;DR — the whole method on one page

Qullamaggie is a **momentum swing trader**. He buys the **strongest stocks in the market** after they have made a big move and then paused to consolidate, enters on a tight **opening-range-high breakout**, risks a small fixed fraction of his account with a **stop no wider than one average daily range**, sells a third-to-half into strength after a few days, and **trails the rest on the 10- or 20-day moving average** to catch the occasional huge winner. He does this only when the broad market is trending up; otherwise he sits in cash.

The edge is **not** a high win rate (his is ~25–35%). The edge is **asymmetry**: many small ~1R losers paid for by a few 10–50R winners, compounded with disciplined position sizing.

He uses **three setups**, in order of how often they appear and how early you should learn them:

#	Setup	What it is	Direction
1	Breakout / Continuation	Strong stock consolidates after a big run, then breaks out again	Long
2	Episodic Pivot (EP)	A quiet stock gaps up hard on a catalyst (usually earnings)	Long
3	Parabolic Short	An over-extended, climactic stock rolls over	Short (advanced)

Where his emphasis is now (per his 2023 streams). Learn the Breakout first — it is the foundation — but be aware that since ~2021 he has traded mostly **Episodic Pivots**, because the choppy 2022-2023 tape stopped rewarding breakouts: "I haven't really traded breakouts since 2021; EPs have worked way better... EPs have been 50 times better than breakouts." He also calls the EP "probably the best setup for most people," because you can prep before the open instead of watching every tick. The setup that's working is **regime-dependent**, and that is the point.

He is a **human discretionary trader, not a bot**. The screening and rules are mechanical, but catalyst judgement, market-regime reading, and conviction sizing are discretionary. (A full mechanical-vs-discretionary breakdown and an automatable spec are in the companion **Quant Spec**.)

1. Who he is and why people study him

- **Name:** Kristjan Kullamägi. Online handle "**Qullamaggie**." Swedish, based in Europe (later Dubai). The surname is Estonian in origin; public sources describe him as a Swedish trader.
 - **Background:** Worked ordinary jobs (including as a security guard) before trading full-time.
 - **The story:** Started trading in **2011** at age 23. Blew up several small accounts in his first two years. First profitable year **2013** (account around **\$9,000**). Switched from frantic day trading to **swing trading**, which fit his personality and scaled better.
 - **The growth:** Reached financial independence around 2017; roughly **\$1.4M (2018) → ~\$4M (mid-2019)**, then an explosive run through the 2020–2021 bull market to a reported peak of **~\$100M+** (a widely-cited statement put him around \$82M in March 2021).
 - **The reality check:** Returns are **self-reported** (account screenshots on stream, no third-party audit) and were earned disproportionately in a once-in-a-generation momentum market. He has been candid that **2022 cost him roughly \$25M** in the bear market — proof the style is regime-dependent.
 - **Why he's credible anyway:** He **sells nothing** — no course, no alerts, no paid group. His blog, YouTube, and Twitch material are free. He streams the first 1–2 hours of the US open so you can watch him actually trade.
 - **His influences:** **Dan Zanger** (momentum breakouts), **Pradeep Bonde / "Stockbee"** (episodic pivots, swing systems), **Jesse Livermore** (sit tight in winners, cut losers), and **William O'Neil / CAN SLIM** (relative strength, leadership). He is an exceptional executor of an existing momentum tradition, not the inventor of it.
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2. The philosophy (the part most people skip)

1. **Trade the leaders, only the leaders.** The stocks already up the most over 1, 3 and 6 months tend to keep leading. Relative strength persists. Ignore cheap, weak, "due to bounce" names.
 2. **Big move → tight pause → continuation.** Institutions accumulate in stair-steps. A clean, low-volatility consolidation after a sharp advance is institutions holding, not distributing.
 3. **Asymmetry over accuracy.** With a ~25–35% win rate, you only need winners to average several times your losers. One 20R winner erases twenty 1R losers and then some.
 4. **Risk is fixed and tiny; size flexes.** Each trade risks a small, constant fraction of the account. Conviction and liquidity decide how big, never how much you can lose.
 5. **Patience is the job.** "It's 99% waiting, 1% doing." He trades hard only when the market environment is favorable — perhaps **20–30% of the year** — and sits in cash otherwise.
 6. **Mastery removes emotion.** Psychology problems (hesitating on stops, selling winners early) are a symptom of not knowing your setup deeply enough. The fix is **hundreds to thousands of hours** studying one setup until its behavior is internalized. Then the rules feel obvious.
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3. The market filter (trade with the tide)

Before any long setup, he checks the **regime** using the major indices (S&P 500 / Nasdaq, via SPY / QQQ):

- **Risk-on (trade actively, full size):** index **10-day MA is above and sloping up over the 20-day MA**, and breakouts in leading stocks are holding.
- **Caution (smaller, fewer):** moving averages flatten, breakouts start failing → cut size, raise cash, hold only the strongest names.
- **Risk-off (mostly cash / look at shorts):** 10-day below 20-day and sloping down, breakouts failing en masse → sit out longs; this is when **parabolic shorts** become viable.

He frames it as a "**green light / yellow light / red light**" system on the index: "if the 10 is sloping up that's good, if the 20 is sloping up that's good; one starts sloping down — cautious; two sloping down — cautious; the 10 crosses below the 20 — not really good." He also layers a slower **100-day MA** to gauge the bigger backdrop, and on TradingView uses a simple community indicator ("ChiLLaX") that just encodes the 10/20 cross-and-slope: "it'll keep you in the market 80% of the good times and out 80% of the bad times. It's not perfect and it doesn't have to be." The exact MA type barely matters — he switched the daily to a **10 EMA** but says "you can use the 9 EMA or the 10... in a trending market these moving averages work like magic — they're literally magic lines."

The single most repeated mistake he warns about: **trying to force longs in a choppy or downtrending market**. "You can't trade breakouts and EPs in downtrending markets... once you get uptrending markets — free money." And: trading them in bad markets means you "die from a thousand cuts." The setups don't work when the tide is against them.

4. Setup #1 — The Breakout / Continuation (learn this first)

This is the bread-and-butter setup and the one to master before anything else.

4.1 What you are looking for

A stock that has made a **powerful move** (often **+30% to +100%+ in the last 1-3 months**, ideally appearing in the **top 1-2% of gainers** over multiple lookbacks), then **consolidates tightly** — shallow pullback, higher lows, narrowing range, **volume drying up** — usually "**surfing**" the **10- or 20-day moving average**.

Timing note: he finds breakouts work **best when the market is just coming out of a correction**, and turn **tricky after the indices have gone straight up for a month** (everything is already extended). In those late-stage tapes he leans on **EPs** instead. Match the setup to the phase of the market, don't force it.

4.2 Find it (scan)

- Biggest gainers over **1, 3 and 6 months** (top ~1-2%). Names appearing on **all three** lists rank highest.
- **ADR% $\geq$ ~5-6%** (enough daily range to produce multiple-R winners).
- **Liquidity:** dollar volume roughly **> \$100M/day** (he wants institutional-grade liquidity; retail traders can relax this but should avoid truly thin names).
- Consolidation **usually 2 weeks to 2 months** (his blog's words); tighter and more orderly is better, and during it the stock "surfs" the rising 10- and 20-day (sometimes 50-day) MA. The current week's volume is often **~50%+ below** the prior week's — supply drying up.

4.3 Enter it (trigger)

The entry is an **opening-range-high (ORH) breakout** on the day price pushes out of the base:

- Watch the **first 1-minute candle**. Buy as price **takes out the high of that 1-minute bar**.
- Missed it / messier open? Use the **5-minute ORH**, then the **hourly (60-minute) ORH**.
- Want a slower version? Buy the **daily break above the consolidation high** with expanding volume.
- **Volume should expand** on the breakout — that confirms demand.

4.4 Risk it (stop & size)

- **Stop = the low of the breakout day (LOD)**. Hard stop, in the market — no mental stops. The rationale (his words): "a breakout should work right away — it shouldn't hit the low of the day after breaking out. That's why the hard stop at the low of the day protects you from failed breakouts." He enters with **market orders**: "limit orders are for people who want to miss a good breakout."
- **Hard constraint: the distance from entry to stop must be $\leq 1 \times$ the stock's ADR (or ATR)**. "If the ADR of the stock is 5%, your stop shouldn't be wider than 5%." If the LOD is more than one ADR away, the trade is too loose — **pass on it**.
- **Risk per trade:** small and fixed — "usually 0.25-1%; I rarely risk more than 1% of my account on any trade." Earlier, with smaller accounts (under a few million), he risked more — **~0.5-1.5%**. Beginners should stay at the low end.
- **Position size** falls out of the math: $\text{shares} = (\text{account} \times \text{risk}\%) \div (\text{entry} - \text{stop})$. In practice positions are often **10-25%** of the account (typically ~10-15%), capped by liquidity and by an overnight single-name ceiling (~30%).

4.5 Manage it (take profits, then let it run)

- **After ~3-5 days, or at ~2-3R, sell 1/3 to 1/2** into strength. This locks the trade green.
- **Move the stop to breakeven** on the remainder.
- **Trail the rest on a moving average:** the **10-day** for faster movers, the **20-day** for slower ones. Exit the remainder on a **close below** that MA.
- **Exception for explosive, same-day parabolic moves** (a stock up 100-300% in a day or two): "you can't use a 10- or 20-day daily moving average for a stop on these — by the time it gets there it gives back all the move. You have to sell into strength." For fast **micro-cap** runners he may instead trail an **intraday** average — "the 10 and 20 EMA on the 60-minute" — rather than the daily. Rule of thumb: the faster the move, the faster (and more intraday) the trail.

- Do **not** average down, ever. Add only if the stock forms a **brand-new** valid base (treated as a fresh trade with its own stop).

4.6 Hold time

First slice in days; the trailed remainder can run **weeks to months** in a strong trend. The whole method lives or dies on letting that remainder breathe.

5. Setup #2 — The Episodic Pivot (EP)

A **catalyst gap** that marks the beginning of a new institutional trend.

5.1 What you are looking for

A stock that has been **quiet / flat / basing for ~3-6 months**, that **gaps up hard on a real catalyst** — most often an **earnings surprise or raised guidance**, sometimes FDA news, a major contract, or a sector re-rating — and opens **above prior resistance and its key moving averages**.

5.2 Find it (scan)

- **Pre-market and first-15-minute gappers**, especially during **earnings season** (run a scan ~2:00-2:30pm the day before / pre-open for earnings winners).
- **Gap of ~+10% or more** on the open.
- **Volume exploding** — on the order of **2x+ average daily volume within the first 15-20 minutes** (he wants to see the day's normal volume traded almost immediately).
- **It is best if the stock has NOT already rallied over the prior 3-6 months.** His test: "if the stock has already made a big multi-month move into the gap-up, is it really a surprise to the market? It's your job to figure it out." The cleanest EPs gap out of a long, boring base.
- The catalyst is about the **future**: "forward earnings is everything — the market is forward-looking, it cares about guidance / forward growth," not the trailing quarter. A genuine 5-star EP has **mid/high or triple-digit EPS and revenue growth and a big beat vs expectations** (his DRCT example: triple-digit growth, guidance raised from ~\$128M to ~\$190M — "an insane raise, a huge surprise" — on enormous volume, out of a multi-year base, +200%).
- A theme can **start** with an EP: "sometimes a sector becomes hot after the leading stocks in it start having EPs." Keep thematic watchlists (he built a 120-name AI/quantum list a month before that theme ran) so you recognize the next leaders early.

5.3 Enter it (trigger)

Same **opening-range-high** mechanics as the breakout: - Buy the break of the **1-minute ORH**; fall back to **5-minute** or **hourly** ORH. - Price must be holding **above the opening price / VWAP** — strength must be real, not fading.

5.4 Risk, manage, hold

- **Stop** at the **low of the day**, again $\leq 1 \times \text{ADR}$; conservative version uses the prior close. Same **0.25-1%** risk and ADR-driven sizing as the breakout.
 - **Take 1/3-1/2 after 3-5 days / at 2-3R**, stop to breakeven, **trail the rest on the 10/20-day MA**. Strong EPs can run **much** further than breakouts — they often mark the start of a months- long leg, so give the runner room.
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6. Setup #3 — The Parabolic Short (advanced — do not start here)

His one countertrend setup, and by far the **riskiest**. He explicitly says to attempt it only **after years of profitability** with the long setups. Shorting a strong stock is dangerous; position size is smaller and discipline must be perfect.

6.1 What you are looking for

A stock in an **unsustainable, near-vertical "parabolic" run** that is showing **exhaustion**: - Large-cap **up ~50-100%+ in days/weeks**; small-cap **up ~300-1000%+**. - **3-5+ straight up days**, accelerating, often climaxing on a **huge-range / gap day**. - **Exhaustion tells**: new highs on **declining** volume, a **climactic** wide bar, then failure to hold the early high.

6.2 Enter it (trigger) — wait for the roll-over, don't pick the top

- **Opening-range-low (ORL) break**: short when price breaks **below** the first 1- or 5-minute bar low after failing to hold strength.
- **VWAP fail**: price bounces into VWAP and prints the first red 1-/5-minute candle there → short the failure.
- **Lower-high**: on a bounce it makes a **lower high** than the prior intraday peak → short into it.

6.3 Risk & manage

- **Stop above the high of day / climactic bar** (or VWAP reclaim) — must be **tight**.
 - **Smaller size** than longs; same small fixed risk.
 - **Cover into the 10-day MA**, where these moves often find their first real bounce; trail the rest lower. Beware overnight gap risk on shorts; use market stops.
 - **Patience is the entire edge here**: "Don't be too early. WAIT for the right setup. Let the amateur shorts get run over — that's where your edge comes in."
 - **Expect smaller reward than the longs**: breakouts and EPs can pay **30-50x+** your risk; a parabolic short is more like **5-10x**, but waiting only for perfect setups keeps the win rate up.
 - **The mirror-image long**: any time a successful parabolic short collapses **50-60%+** in a few days, that sets up a snapback **parabolic long** — enter on the opening-range high or first green 5-minute candle; these can bounce **50-100%** in a few days. Rarer, but worth knowing.
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7. Scanning & watchlist workflow

Tools he is associated with: **TC2000** (charting + custom scans), **Finviz** (quick relative-strength screens), and a personal **Evernote** library of thousands of annotated before/after setup screenshots built over many years.

A practical daily funnel: 1. **Finviz relative-strength screens** to pull the leaders: - 1-week > +20%, 1-month > +30% (aggressive > +50%), 3-month > +50%, 6-month > +100%. - Liquidity: **avg volume > 300k shares, dollar volume > ~\$100M/day**. - A good, tight leaders scan returns **fewer than ~60 names**, not hundreds. 2. **TC2000 breakout scan** to flag tradeable consolidations today (exact formula in the Quant Spec). 3. **Tier your lists:** a **wide watchlist** (100–200 names of relative-strength leaders), a **weekly watchlist** (50–100), and a **daily focus list of just 1–5** highest-probability names with entry, stop, and size pre-written before the open.

8. Risk management (the real engine)

- **Risk per trade:** ~0.25%–0.5% of capital typical; up to ~1% on best setups. Small, fixed, non-negotiable. (Early on, with a tiny account, he risked a bit more; as the account grew, risk-% came down.)
 - **Stops:** always at a structural level (LOD / base low), always $\leq 1 \times \text{ADR}$, always **hard market stops**. Accept them instantly when hit — hesitation turns a 1R loss into a 3R loss.
 - **Position size:** derived from risk and stop distance; typically **10–25%** of account per name, capped by liquidity. **Overnight single-name ceiling ~30%**.
 - **Concurrent positions:** comfortable up to ~15–20; beyond that it's hard to manage and is itself a sign the market may be overheated.
 - **Margin/leverage:** uses it **only when already up and "playing with the house's money,"** up to roughly **130%** exposure — never the 2x+ that blows accounts.
 - **Exposure scales with the regime:** heavy and leveraged in confirmed uptrends; small or flat in chop and downtrends.
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9. Trade management rules (cheat version)

- Enter on the ORH (1m → 5m → 60m), stop at LOD $\leq 1 \times \text{ADR}$.
 - Sell **1/3–1/2 into strength** at ~3–5 days or 2–3R.
 - Stop to **breakeven** on the rest.
 - **Trail on the 10-day (fast) or 20-day (slow) MA;** exit on a **close below**.
 - **Never average down.** Add only on a **fresh base**, as a new trade with its own stop.
 - **No new risk** when the market regime turns against you.
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10. Daily & weekly routine

- **Pre-market:** scan overnight/pre-market gappers and earnings winners; finalize the **1-5 name focus list** with exact entries, stops, and sizes; set alerts.
- **The open (first 1-2 hours):** this is when almost all his entries happen (ORH breakouts). He streams it. After the first hour or two, the high-probability window largely closes.
- **Midday/afternoon:** manage existing positions; mostly leave them alone.
- **Post-close: journal every trade** (entry, stop, size, result, screenshot), run end-of-day screens, refresh the wide/weekly watchlists, build tomorrow's focus list.
- **Weekly:** print or screenshot trades and **review them like game film**, marking what was done well and badly to convert mistakes into rules.

He is European/Dubai-based trading the US session, so his wall-clock hours are shifted, but the structure (prep → trade the open → manage → journal) is what matters.

11. Psychology & the "10,000 hours"

- **Study one setup, deeply, for a long time.** He built an **Evernote database over 7-8 years**, going back decades across thousands of stocks, with **1000+ hours** invested and a collection of **thousands** of annotated before/after setups. Confidence comes from that database, not from tips. He says the **EP alone takes 4-8 earnings seasons (1-2 years)** to truly understand.
 - **His own biggest weakness is overtrading** — worth hearing from a great trader: "I overtrade every year, every month, every week. I don't have many big losses because I'm good at cutting them, but I take half-size trades in bad markets ten times and it adds up. That's my biggest detractor every year." If it's his hardest problem, expect it to be yours; the regime filter exists largely to stop you trading when there's nothing to trade.
 - **Trade small for a long time.** Consistency at small size first; scale only once profitable.
 - **Journal and screenshot relentlessly.** Your own annotated history is the best teacher.
 - **Expect to lose most trades.** A 25-35% win rate means **3-6+ losers in a row is normal**, not a broken system. Knowing the math keeps you calm.
 - **Patience > activity.** The biggest edge is doing nothing when there's nothing to do.
 - **Why most fail:** no setup mastery, no written rules, hesitation on stops, averaging down, overtrading in bad conditions, chasing extended moves, trading illiquid names, and stops too tight for the stock's natural range.
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12. Tools & platforms (as referenced publicly)

- **Brokers/execution:** Interactive Brokers and Centerpoint Securities; Sterling Trader for hotkey execution.
- **Charting/scanning:** eSignal (intraday at the open), **TC2000** (scans + charts), **Finviz** (relative-strength screens).
- **Journal/library:** Evernote database of annotated setups.

- **Indicators that matter: 10- & 20-day simple moving averages** (the "surf" and trailing lines), **50-day** (context), **ADR%** (volatility/stop sizing), **volume / relative volume**, and **VWAP** (intraday, especially for shorts). That's essentially it — no exotic indicators.
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13. Caveats — read this before risking money

- **Self-reported, unaudited returns**, earned heavily in the **2020-2021 momentum bubble**. He lost an estimated ~\$25M in 2022. The style is **strongly bull-market-dependent**.
 - **Survivorship/regime bias**: the method shines when momentum is rewarded and can bleed in chop.
 - **Scale & slippage — the "small account edge"**: in his own words, "with a small account you have so much more opportunity and bigger opportunities... but once you get good you won't have a small account for long, so that edge starts going away — then you trade larger-cap stocks and longer time frames." Many of the explosive micro-cap moves he points to (he often credits his girlfriend's small account for catching them) are ones **he can no longer trade in size**. So your results and his are not directly comparable in either direction.
 - **Return expectations are bull-market-conditioned**: he'll say "low- to mid-triple-digit returns in a bull market with EPs only — absolutely" — but note the **"in a bull market"** qualifier. The same approach bled in 2022. Do not annualize a good year.
 - **Low win rate is real**: you must be able to sit through long losing streaks without deviating.
 - **Beware repackaged "courses."** He sells nothing; anyone charging for "his system" is reselling free material.
 - **This document is educational, not financial advice**. Backtest, paper-trade, and risk only what you can afford to lose.
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14. A 90-day plan to actually learn this

- **Days 1-15 — Study**. Read his three-setups article and FAQ; watch his core videos and a few streams. Pick **one setup only: the Breakout**.
 - **Days 16-45 — Build the eye**. Pull 200+ historical examples of the breakout (winners and failures). Screenshot and annotate each: prior move, base shape, volume, ADR, entry, stop, outcome. Build your own library.
 - **Days 46-75 — Paper / micro-size**. Run the Finviz + TC2000 scans nightly, build a 1-5 name focus list, and take ORH entries at **micro size** (risk 0.1-0.25%). Journal every trade.
 - **Days 76-90 — Review & codify**. Print your trades, review like game film, and write down the specific mistakes you keep making as **rules**. Only then consider slowly increasing size.
 - **Throughout**: respect the **market filter** — don't force longs when the indices are below their declining 10/20-day MAs.
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Continue to the companion documents: the Quant Spec (mechanical screeners, pseudocode, sizing math, backtest design, and the human-vs-bot analysis) and the Cheat Sheet (one-page rules).

The Qullamaggie Quant Spec

Turning the method into mechanical rules — and where a bot hits its limits

Companion to The Qullamaggie Playbook. This document answers the question you raised directly: is he a human or a quant bot? Short answer: a human discretionary trader running a heavily rule-based process. Below is exactly which parts are mechanical (automatable), which require judgement, the concrete screeners and pseudocode to encode the mechanical core, position-sizing math, and a backtest design — plus an honest estimate of the gap between a pure bot and his live results. Educational only; not financial advice.

1. Human or bot? The mechanical-vs-discretionary map

He **executes manually** and streams it live; he does **not** run an automated system. But the process is unusually systematic, so it decomposes cleanly:

Component	Mechanical (a bot can do it)	Discretionary (needs a human)
Universe / relative-strength ranking	✓ Top 1–2% gainers over 1/3/6m, ADR%, liquidity	—
Consolidation detection	✓ Range contraction, higher lows, volume dry-up	△ "Cleanliness"/orderliness of the base
Breakout entry (ORH)	✓ Break of 1/5/60-min opening-range high + volume	—
Stop & size	✓ LOD, $\leq 1 \times \text{ADR}$, fixed-risk position sizing	—
Partial sells / MA trail	✓ Sell 1/3–1/2 at 3–5d or 2–3R, trail 10/20-MA	—
Episodic Pivot catalyst	△ Gap% + volume are mechanical	✗ Is the catalyst meaningful? (earnings quality, durability)
Market regime	✓ Index 10/20-MA slope is mechanical	△ Reading whether breakouts are "holding"
Conviction sizing	partly (liquidity is mechanical)	✗ How hard to press a given trade
Parabolic short timing	△ Exhaustion heuristics	✗ Tape reading, "feel" for the blow-off top

Rough split: ~70% mechanical screening + rules, ~30% discretion. The screening, entries, stops, sizing, and exits are fully codifiable. The alpha concentrates in the discretionary 30% — catalyst quality, regime nuance, and conviction. A faithful bot can replicate the **process** and a large part of the **breakout** edge; it will under-replicate the **EP** and **parabolic short** edge that lean on judgement.

2. Universe & data requirements

- **Universe:** US common stocks (NYSE/NASDAQ/AMEX). Exclude OTC/pink. He leans toward NASDAQ growth/tech/biotech leaders.
- **Bars:** daily OHLCV for scanning/management; **1-minute & 5-minute** intraday for ORH entries; intraday for VWAP (shorts).
- **Fundamental/event feed:** an **earnings calendar + surprise/guidance** feed for EPs.
- **Survivorship-bias warning:** backtests **must** include delisted/dead tickers and point-in-time index membership, or breakout results will be badly inflated.

2.1 Core derived indicators

```
SMA(n)      = simple moving average of close over n days      # use 10, 20, 50, 200
ADR%(20)    = 100 * ( average over last 20 days of (High/Low) - 1 ) # Qullamaggie-style ADR
# (equivalently ~ average of (High-Low)/Close * 100; either is fine if applied consistently)
DollarVol   = close * volume                                  # liquidity proxy
RVOL(n)     = volume / SMA(volume, n)                        # relative volume, n=20 or 50
RS_1m/3m/6m = percent return over ~21 / ~63 / ~126 trading days # relative strength
```

3. Screeners (copy-paste-ish)

3.1 Finviz — relative-strength leaders (the funnel's top)

Use Finviz Elite screener filters (URL-buildable). Representative leader screens:

- **Performance:** Month **+30%** (or **+50%** aggressive), Quarter **+50%**, Half-year **+100%**, Week **+20%**.
- **Average Volume:** over **300K**.
- **Price:** typically **over \$5-\$10** (avoid sub-\$ junk).
- **Optional:** Market-cap **Small+** or **+**, exclude funds.

A tight leaders screen should return **< ~60 names**. Carry them to a charting scan.

3.2 TC2000 — daily breakout / continuation scan

His publicly-circulated breakout condition (TC2000 syntax):

```
c/c1 > 1.03
AND c > h1 AND c > h2
AND ( (h - l) > 0.5 * (avgh5 - avgl5) )
AND ( (c - l) < (avgh20 - avgl20) * 1.5 )
```

Reading it: up **>3%** today; closing **above the prior two days' highs** (breaking out); today's **range is large** vs the 5-day average (expansion); but the **close-to-low distance is contained** vs the 20-day range (not a blow-off — still room). Layer on relative-strength + ADR% + liquidity:

```

AND ADR%(20) >= 5
AND c * v >= 1000000000      # ~$100M dollar volume
AND ( RS_1m in top 2% OR RS_3m in top 2% OR RS_6m in top 2% )
AND ( |c - SMA10|/c <= 0.10 OR |c - SMA20|/c <= 0.10 ) # near the 10/20-day MA it's surfing

```

3.3 Episodic Pivot pre-open scan

```

gap_pct = open / prev_close - 1
WHERE gap_pct >= 0.10      # +10% gap
  AND has_catalyst (earnings beat / raised guidance / major news today)
  AND ret_prior_3_6_months <= ~0.30      # NOT already extended -> the news is a real
"surprise"
  AND open > resistance_of_prior_base      # gapping above the range
  AND open > SMA50
  AND first15min_volume >= 2 * SMA(volume,20) # volume exploding early
# Earnings-EP quality (discretionary): mid/high or triple-digit EPS+revenue growth, big beat,
# and it is the FORWARD guidance that matters, not the trailing quarter.

```

3.4 Parabolic-short candidate scan

```

WHERE up_days_in_a_row >= 3
  AND ( (large_cap AND ret_10d >= 0.50) OR (small_cap AND ret_10d >= 3.0) )
  AND extension_above_SMA10 = (c - SMA10)/SMA10 >= 0.30 # stretched far from the 10-MA
  AND ADR%(20) >= 8
  AND volume_making_new_highs_is_declining = TRUE      # exhaustion tell (heuristic)

```

4. Entry / exit state machines (pseudocode)

4.1 Breakout & Episodic Pivot (long) — identical management

```
# Preconditions: ticker passed the daily scan (breakout) or EP pre-open scan, AND risk-on regime:
def market_regime_is_risk_on(index):
    return ( SMA(index,10) > SMA(index,20)
            and slope(SMA(index,10)) > 0
            and slope(SMA(index,20)) > 0
            and slope(SMA(index,100)) >= 0 )
    # "green light"
    # 10 above 20
    # both sloping up
    # slower backdrop not rolling over
# One MA sloping down = yellow (cut size); 10 crossing below 20 = red (no new longs).
# Note: post-2021 he weights EP entries far more heavily than breakouts (regime-driven choice).

def on_market_open(stock):
    orl_high = high_of_first_n_minute_bar(stock, n=1)
    arm_stop_buy(stock, trigger=orl_high)
    # also track n=5, n=60
    # fall back to 5m/60m ORH if 1m fails

def on_entry_filled(stock, entry):
    stop = low_of_day(stock)
    if (entry - stop) > 1.0 * ADR_points(stock):
        exit_immediately(stock); return
    risk_dollars = account_equity * RISK_PCT
    shares = floor(risk_dollars / (entry - stop))
    shares = cap_by_liquidity_and_max_position(shares)
    place_hard_stop(stock, stop)
    # ADR% converted to $ at entry
    # too loose -> skip/abort
    # RISK_PCT in [0.0025, 0.01]
    # <=25% equity; <=30% overnight

def on_manage(stock):
    if days_held >= 3 and (open_R(stock) >= 2 or days_held >= 5):
        if not took_partial(stock):
            sell_fraction(stock, frac=0.5)
            move_stop_to_breakeven(stock)
            # 1/3..1/2 into strength
        # Exception: explosive same-day movers (e.g. +100-300% in 1-2 days). A daily MA trail gives
        the
        # whole move back, so scale out into strength and/or trail an INTRADAY average instead.
        if same_day_parabolic(stock):
            scale_out_into_strength(stock)
            trail = EMA_60min(stock, 10)
            # e.g. up >> 1 day, far above 60m VWAP
            # 10/20 EMA on the 60-minute, not
        daily
        else:
            trail = SMA(stock, 10) if is_fast_mover(stock) else SMA(stock, 20)
            if close(stock) < trail:
                # daily close, or 60m close for the
        fast case
        exit_remainder(stock)
```

4.2 Parabolic short (advanced)

```
def short_trigger(stock):
    return ( breaks_below(opening_range_low(stock, n=1 or 5))
            or vwap_fail(stock)           # first red 1/5-min candle rejecting VWAP
            or lower_high_after_bounce(stock) )

def on_short_filled(stock, entry):
    stop = max(high_of_day(stock), vwap_reclaim_level(stock)) # tight
    if (stop - entry) > 1.0 * ADR_points(stock): exit_immediately(stock); return
    size_small(stock)                                     # smaller than longs
    place_hard_stop(stock, stop)

def on_short_manage(stock):
    if price_near(stock, SMA(stock, 10)): # first bounce zone
        cover_fraction(stock, 0.5)
    trail_short_lower(stock)               # trail down; respect overnight gap risk
```

5. Position sizing math (worked example)

```
shares = floor( (account_equity * risk_pct) / (entry - stop) )
stop_distance_constraint: (entry - stop) <= ADR$ where ADR$ = entry * ADR%/100
```

Example: equity **\$100,000**, risk **0.5% = \$500**, entry **\$50.00**, ADR% **6%** → ADR\$ = \$3.00, so the stop must be within **\$3.00**. Say LOD = **\$47.50** (entry–stop = \$2.50 ≤ \$3.00 ✓). $\text{shares} = 500 / 2.50 = 200$. Notional = **\$10,000 = 10% of equity** ✓ (under caps). If LOD were **\$46.00** (distance \$4.00 > \$3.00 ADR\$) → **skip the trade**.

This is why **ADR simultaneously sets the stop and the size**: high-ADR names get fewer shares but the same dollar risk.

6. Backtest design (do this before trusting any of it)

- **Data:** point-in-time universe **including delisted tickers**; daily + at least 5-min intraday for ORH; corporate-action-adjusted prices; an earnings/catalyst feed for EPs.
- **Entry model:** simulate the **1-min/5-min ORH** fill with realistic slippage; don't assume the exact high.
- **Costs:** commissions + **slippage that scales with size/ADR**; borrow fees + hard-to-borrow + overnight gap risk for shorts.
- **Regime filter:** gate longs on index 10>20-MA-up; test with and without it (it should cut drawdowns materially).
- **Risk model:** fixed fractional (0.25–1%), ADR-capped stop, partial at 3–5d/2–3R, 10/20-MA trail.
- **Metrics to report:** win rate (**expect ~25–35%**), **average win R vs average loss R**, **expectancy per trade**, profit factor, max drawdown, exposure/time-in-market, and the distribution of R (the tail of big winners is the whole edge — plot it).

- **Robustness:** walk-forward across regimes (2013–2019 vs 2020–2021 vs **2022 bear**), parameter sensitivity (ADR threshold, trail length), and a **survivorship-on vs off** comparison.

6.1 Reference scanner sketch (Python/pandas, illustrative)

```
import pandas as pd, numpy as np

def adr_pct(df, n=20):
    return (df['high']/df['low']).rolling(n).mean().sub(1).mul(100)

def breakout_candidates(df):
    df = df.copy()
    df['sma10'] = df['close'].rolling(10).mean()
    df['sma20'] = df['close'].rolling(20).mean()
    df['adr'] = adr_pct(df)
    rng = df['high'] - df['low']
    avg5 = (df['high'].rolling(5).mean() - df['low'].rolling(5).mean())
    avg20 = (df['high'].rolling(20).mean() - df['low'].rolling(20).mean())
    cond = ( (df['close']/df['close'].shift(1) > 1.03)
            & (df['close'] > df['high'].shift(1)) & (df['close'] > df['high'].shift(2))
            & (rng > 0.5*avg5) & ((df['close']-df['low']) < 1.5*avg20)
            & (df['adr'] >= 5) & (df['close']*df['volume'] >= 1e8)
            & ((df['close']-df['sma10']).abs()/df['close'] <= 0.10) )
    return df[cond]

def size(equity, risk_pct, entry, stop, adr_pct_val, max_pos_pct=0.25):
    if (entry-stop) > entry*adr_pct_val/100: return 0 # ADR constraint -> skip
    shares = int((equity*risk_pct)/(entry-stop))
    return min(shares, int(equity*max_pos_pct/entry)) # liquidity/size cap
```

(Add relative-strength ranking, the regime gate, and the intraday ORH fill model to make it real.)

7. Expected bot-vs-human gap (set expectations)

- A disciplined bot can likely **reproduce the breakout process** and most of its mechanical edge, **with the index regime filter doing a lot of the work.**
- It will **under-perform on Episodic Pivots** (it can't judge catalyst quality) and on **parabolic shorts** (no tape feel) — expect more false triggers there.
- It will not replicate his **conviction sizing**, which concentrated capital in his best ideas during the 2020–2021 melt-up — a meaningful chunk of his headline returns.
- **Net:** automate the breakout for consistency and screening leverage; keep a **human in the loop** for EP catalyst selection, regime judgement, and how hard to press. And remember the whole edge is **regime-dependent** — size down or stand aside when momentum isn't being rewarded.

See Sources & Coverage for references and an honest note on what could and couldn't be ingested in this build.

Qullamaggie Cheat Sheet

One-page quick reference. Pair with the Playbook (context) and Quant Spec (automation). Educational only.

First, the market (do this before any long)

- **Green light (trade, full size):** index **10-day MA > 20-day, both sloping up**; 100-day not rolling over; breakouts/EPs are holding.
- **Yellow (cut size / be picky):** one MA starts sloping down; breakouts starting to fail.
- **Red (no new longs; cash / shorts):** 10-day < **20-day** and sloping down.
- Mantra: uptrend = "free money"; downtrend = "death by a thousand cuts." Only **~20-30% of the year** is green. The rest you wait.

The non-negotiables (all setups)

- **Risk per trade:** **0.25-1%** of account, rarely >1%. Fixed and small.
 - **Stop:** structural (**low of day / base low**), **never wider than 1× ADR**. Hard market stop.
 - **Size:** `shares = (account × risk%) ÷ (entry - stop)`; cap **~10-25%** per name, **~30% overnight**.
 - **Entry trigger (all longs):** break of the **opening-range high** — first **1-min**, then **5-min**, then **60-min** candle. Market orders. "Limit orders are for people who want to miss a good breakout."
 - **Take profits:** sell **1/3-1/2 after 3-5 days or ~2-3R**, move stop to **breakeven**, trail the rest on the **10-day (fast) or 20-day (slow) MA**, exit on a **close below**.
 - **Never average down.** Add only on a **brand-new base** (own stop). **No new risk in a red market.**
 - Edge = **asymmetry, not accuracy:** **~25-35% win rate**, small **~1R** losers, occasional **10-50R** winners.
-

Setup 1 — Breakout / Continuation (learn first)

- **Scan:** top **1-2% gainers** over 1/3/6 months (e.g. +30-100%+); **ADR% ≥ 5-6%**; **\$ vol > ~\$100M/day**; tight consolidation **~2 weeks-2 months** "surfing" the 10/20-day, **volume drying up**.
- **Enter:** ORH (1m→5m→60m) of the breakout day; **volume should expand**.
- **Stop:** low of breakout day, **≤ 1× ADR**. Rationale: a real breakout works right away — it shouldn't revisit the LOD.
- **Manage:** partial at 3-5d / 2-3R → breakeven → trail 10/20-day. Bull-market winners often **10-20×** risk.

- **Best when** the market is **just coming out of a correction** (tricky after a month straight up).

Setup 2 — Episodic Pivot (EP) (his current main setup)

- **Scan:** gap $\geq +10\%$ on a real **catalyst** (usually earnings/guidance); **NOT already up** the prior 3–6 months (must be a genuine surprise); **huge volume** ($\approx$ avg daily volume in first 15–30 min); opens **above the base and the 50-day**. Quality EP = **mid/high or triple-digit EPS+rev growth, big beat**.
- **Enter:** ORH (1m/5m/60m), holding above open/VWAP. **Stop = low of day**, $\leq 1 \times$ ADR.
- **Manage:** partial in 3–5d $\rightarrow$ breakeven $\rightarrow$ trail **10/20-day** (strong EPs can ride the **20/50-day** for months).
- "EPs have been 50 $\times$ better than breakouts" in choppy years; "the best setup for most people" (prep before the open).

Setup 3 — Parabolic Short (advanced — years of profitability first)

- **Scan:** large-cap **+50–100%+** (small-cap **+300–1000%+**) in days/weeks; **3–5+ up days**, accelerating, exhaustion (new highs on declining volume, climax bar).
- **Enter (wait for the roll-over):** break of **opening-range low**, or **first red 5-min candle**, or **VWAP fail** on a bounce. **Stop = high of day / VWAP reclaim** (tight). **Smaller size** than longs.
- **Cover into the 10/20-day MA** (first bounce zone); trail rest lower. Mind overnight gap risk.
- Reward is smaller: **~5–10 $\times$** vs 30–50 $\times$ + for longs. "Don't be too early — let the amateur shorts get run over."
- **Mirror long:** after a short collapses **50–60%+**, snapback long on ORH / first green 5-min (bounce 50–100%).

Indicators he actually uses

10- & 20-day MA (surf + trail; SMA or EMA, "doesn't matter"), **50/100-day** (context/regime), **ADR%** (stop + size), **volume / RVOL**, **VWAP** (intraday, shorts). Tools: **TC2000**, **Finviz**, eSignal, IBKR/Centerpoint.

Top mistakes (incl. his own)

Forcing longs in a red market · **overtrading** (his self-described "biggest weakness") · hesitating on stops · averaging down · chasing extended moves · stops too tight for the stock's ADR · trading choppy / illiquid names (he prefers **NASDAQ** momentum over NYSE) · buying **biotech ahead of a known data date** ("Russian roulette").

Most edge is in **risk management + patience + setup mastery** (his Evernote DB: **1000+ hours, 7-8 years, thousands of charts**). The EP alone takes **1-2 years** to learn. This is a craft, not a shortcut.

Sources & Coverage

Bibliography and an honest account of what was and wasn't retrievable when building this guide.

Primary sources (his own words)

Blog — qullamaggie.com (his canonical teaching) - 3 TIMELESS setups that have made me TENS OF MILLIONS! — <https://qullamaggie.com/my-3-timeless-setups-that-have-made-me-tens-of-millions/> (Jan 2021. **Fully ingested this run** via Apify; the single most important written source — exact setup steps, risk %, ORH entries, ADR stop rule, profit-taking, the Livermore quote, sizing math in the comments.) - How to master a setup: Episodic Pivots — <https://qullamaggie.com/how-to-master-a-setup-episodic-pivots/> (Nov 2021) - About / FAQ / Blog index — <https://qullamaggie.com/about/> · <https://qullamaggie.com/faq/> · <https://qullamaggie.com/blog/>

YouTube — @Qullamaggie (live streams; transcripts ingested this run via Apify). Deep-mined: - Speculation money is back! — https://www.youtube.com/watch?v=JNVA5cd_m7M (2023-12-15) - EP party! — <https://www.youtube.com/watch?v=TZnX1qEiOkM> (2023-12-01) - Market mechanics, setups and more — <https://www.youtube.com/watch?v=VdQSDGZBLQE> (2023-06-09) - Also enumerated (May–Jun 2023): SLhbpNuHegw, C7ZZhSxYYLk, 1HFPeLD2zwc, 2UgJ5CvVVK4, _y9Wo0eBP4A (transcribed) and 30ksgwzWboo, 8Pa6cIIrZNw (captions disabled). Full list: `_corpus/youtube/manifest.csv`; mined quotes: `_corpus/youtube/extracted-quotes.md`. - He notes a "mandatory" breakout teaching video (on a moderator's channel): <https://www.youtube.com/watch?v=xx8GvtAxilk>

Interview - Chat With Traders (ep. 224) interview notes — <https://tradingresourcehub.substack.com/p/interview-qullamaggie-chat-with-traders-part1> (background, account timeline, philosophy; corroborated via web search — see note on fetch below.)

Secondary / corroborating sources (third-party)

- Timothy Sykes — Legends of Trading: Qullamaggie — <https://www.timothysykes.com/blog/qullamaggie/>
- ChartMill — Kristjan Kullamägi Continuation Breakout Screen — <https://www.chartmill.com/documentation/stock-screener/technical-analysis-trading-strategies/467-Kristjan-Kullamagi-Continuation-Breakout-Screen>
- ChartMill — Mastering the Qullamaggie Episodic Pivot Setup — <https://www.chartmill.com/documentation/stock-screener/technical-analysis-trading-strategies/494-Mastering-the-Qullamaggie-Episodic-Pivot-Setup-A-Flexible-Stock-Screening-Approach>
- Deepvue — Qullamaggie Screens — <https://deepvue.com/screener/qullamaggie-screens/>
- Financial Wisdom TV — The Episodic Pivot Strategy — <https://www.financialwisdomtv.com/post/the-episodic-pivot-strategy-qullamaggie-s-high-momentum-setup-explained>
- Stocks & Futures Trading — How Kristjan Kullamägi Trades Breakouts & Episodic Pivots — <https://stocksandfuturestrading.com/how-kristjan-kullamagi-trades-breakouts-episodic-pivots-to-make-huge-returns/>

- Jack Corsellis — Kristjan Qullamaggie Stock Trading Strategy — <https://jackcorsellis.com/kristjan-qullamaggie-stock-trading-strategy/>

Key rules, cross-referenced (each to ≥ 2 independent sources)

Rule	Sources
Risk 0.25-1% per trade, rarely $>1\%$	3-setups blog; Chat With Traders notes
Entry = opening-range-high (1m/5m/60m)	3-setups blog; 2023 streams; ChartMill
Stop = low of day , $\leq 1 \times \text{ADR/ATR}$	3-setups blog (comments); 2023 streams
Sell 1/3-1/2 in 3-5 days , trail 10/20-day MA	3-setups blog; Speculation-money stream; Deepvue
EP = +10% gap + huge volume + not pre-extended	3-setups blog; EP party stream; FinancialWisdom/ChartMill
Regime filter (index 10/20-day) gates longs	2023 streams; Chat With Traders; Sykes
Win rate $\sim 25\text{-}35\%$, asymmetric R	3-setups blog; multiple third-party

Where sources conflicted, the conflict is stated in-text rather than smoothed over — e.g. **risk per trade** (his blog "0.25-1%", up to 0.5-1.5% when accounts were small" vs. third-party simplifications to " $\sim 0.5\%$ "), and **consolidation length** (his blog's "2 weeks to 2 months" vs. tighter community restatements). The guide follows **his own words** as the primary authority.

Ingestion coverage note (what this environment allowed)

This build ran in a sandbox with a **policy-enforcing egress proxy**, which materially shaped sourcing:

- **Direct YouTube and direct Apify API are egress-blocked** here (`yt-dlp` $\rightarrow$ youtube.com and `curl` $\rightarrow$ api.apify.com both returned **403** at the proxy). Per environment policy these blocks are reported, not circumvented.
- **Ingestion therefore ran through the connected Apify MCP server** (routed separately from the proxy, on its own auth): the `starvibe/youtube-video-transcript` actor for transcripts and `apify/rag-web-browser` for the blog (which also bypassed the **Cloudflare 403** that blocked direct `WebFetch` of qullamaggie.com).
- **YouTube depth was capped** by the MCP account's **free tier (10 videos per channel call)**. His `@Qullamaggie` channel exposes only **~ 10 recent videos (May-Dec 2023)** — he deleted most older educational uploads — and a date-windowed query before that returned 0; the archive channel `@tradingarchive2702` did not resolve. **8 of 10** videos were transcribable; **3** were deep-mined. So YouTube coverage is **his recent streams, not his full historical catalog** (the deleted older material is unavailable from his own channel by any route).
- **X/Twitter was not captured this run**. It is directly egress-blocked, and the Apify MCP server **disconnected mid-session** before the (lowest-value) tweet scrape completed. His

posts are mostly short market commentary; the substance here comes from his blog and streams. Treat X coverage as a known gap rather than implied.

- **User-provided Apify API keys could not be used** (direct Apify API is egress-blocked, and the MCP tools authenticate with the server's own token, not a passed-in key). They were **never written to any file or committed**. Because they were shared in plaintext, rotating them is advisable.

Net: **primary sourcing is strong** (his definitive blog article in full + three dated 2023 streams + cross-checked third-party material), with the honest limitation that his **deleted pre-2022 video catalog** and **X history** were not retrievable in this environment.

Corpus artifacts retained in `./_corpus/` (blog markdown, YouTube manifest + extracted quotes). The guide is educational synthesis, not financial advice; returns cited are self-reported and bull-market-weighted.